ADVANCED FINANCIAL REPORTING I

UNIT 1: PRINCIPLES OF CONSOLIDATED FINANCIAL STATEMENTS

Session 6: IAS 28: *Investment in Associates and Joint Ventures*

In this session, we would examine the regulatory framework of accounting for investment in associate and joint venture as provided for in IAS 28

Objectives
At the end of this session, you should be able to:
(a) define an associate and a joint venture;
(b) describe the indicators of significant; and
(c) explain the equity method of accounting for investment in associate and joint venture in consolidated financial statements.

Introduction
The objective of IAS 28 is to prescribe the accounting for investments in associates and to set out the requirements for the application of the equity method when accounting for investments in associates and joint ventures. It is important to note that the determination of whether an investment is a joint venture is not covered in IAS 28, but rather in IFRS 11. The accounting for a joint venture which is by apply equity accounting method is what IAS 28 deals with.

Scope
This Standard shall be applied by all entities that are investors with joint control of, or significant influence over an investee.

Key Definitions
The following terms are used in this Standard with the meanings specified:

- An ***associate* is an entity**, including an unincorporated entity such as a partnership, over which the investor has significant influence and that is neither a subsidiary nor an interest in a joint venture.
- The ***equity method*** is a method of accounting whereby the investment is initially recognised at cost and adjusted thereafter for the post-acquisition change in the investor's share of net assets of the investee. The investor's profit or loss includes the investor's share of the profit or loss of the investee and the investor's other comprehensive income includes its share of the investee's other comprehensive income.
- ***Joint arrangement*** is an arrangement of which two or more parties have joint control.
- ***Joint control*** is the contractually agreed sharing of control over an economic activity, and exists only when the strategic financial and operating decisions relating to the activity require the unanimous consent of the parties sharing control (the venturers).
- ***Joint Venture:*** is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement.
- ***Joint venturer*** is a party to a joint venture that has joint control of that joint venture.
- ***Significant influence***is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

Significance Influence
If an investor holds, directly or indirectly (e.g. through subsidiaries), 20 per cent or more of the voting power of the investee, it is presumed that the investor has significant influence, unless it can be clearly demonstrated that this is not the case. Conversely, if the investor holds, directly or indirectly (e.g. through subsidiaries), less than 20 per cent of the voting power of the investee, it is presumed that the investor does

not have significant influence, unless such influence can be clearly demonstrated. A substantial or majority ownership by another investor does not necessarily preclude an investor from having significant influence.

The existence of significant influence by an investor is usually evidenced in one or more of the following ways:

(a) representation on the board of directors or equivalent governing body of the investee;
(b) participation in policy-making processes, including participation in decisions about dividends or other distributions;
(c) material transactions between the investor and the investee;
(d) interchange of managerial personnel; or
(e) provision of essential technical information.

In assessing whether potential voting rights contribute to significant influence, the entity examines all facts and circumstances (including the terms of exercise of the potential voting rights and any other contractual arrangements whether considered individually or in combination) that affect potential rights, except the intention of management and the financial ability to exercise or convert. Potential voting rights are not currently exercisable or convertible when, for example, they cannot be exercised or converted until a future date or until the occurrence of a future event.

Loss of Significant Influence

An entity loses significant influence over an investee when it loses the power to participate in the financial and operating policy decisions of that investee. The loss of significant influence can occur with or without a change in absolute or relative ownership levels. It could occur, for example, when an associate becomes subject to the control of a government, court, administrator, or regulator. It could also occur as a result of a contractual agreement.

Equity Accounting Method

The equity method of accounting is applied to investments in associates and joint ventures to reflect the substance of the transaction and bot its mere form. The cost method for accounting for associates would simply not reflect the economic reality of the investor's interest in the investee. As a result, application of the equity method provides more informative reporting of the net assets and profit or loss of the investor.

The summary of application are as follows:

- The investment is initially recognised at cost
- Subsequently, the carrying amount is increased or decreased to recognise the investor's share of the profit or loss of the investee after the date of acquisition:
- The investor's share of the profit or loss of the investee is recognised in the investor's profit or loss
- Distributions received from an investee reduce the carrying amount of the investment
- Adjustments to the carrying amount may also arise from changes in the investee's other comprehensive income (OCI) (i.e. revaluation of property, plant and equipment and foreign exchange translation differences.
- The investor's share of those changes is recognised in OCI of the investor
- An investment in an investee that meets the definition of a 'non-current asset held for sale' should be recognised in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations.
- The equity method is used from the date significant influence arises, to the date significant influence ceases.

Exemptions from Applying the Equity Method

An entity with joint control of, or significant influence over, an investee shall account for its investment in an associate or joint venture using the equity method except when that investment qualifies for exemption.

An entity need not apply the equity method to its investment in an associate or a joint venture if the entity is a parent that is exempt from preparing consolidated financial statements by the scope exception of IFRS 10, or if all the following apply:

(i) The entity is a wholly owned subsidiary or is a partially-owned subsidiary of another entity and all its other owners, including those not otherwise entitled to vote, have been informed about, and do not object to, the entity not applying the equity method. statements.

(ii) The entity's debt or equity instruments are not traded in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local and regional markets);

(iii) The entity did not file, nor is it in the process of filing, its financial statements with a securities commission or other regulatory organisation for the purpose of issuing any class of instruments in a public market; and

iv) The ultimate or any intermediate parent produces consolidated financial statements that are available for public use and comply with IFRSs

When an investment in an associate or a joint venture is held by, or is held indirectly through, an entity that is a venture capital organization, or a mutual fund, unit trust and similar entities including investment-linked insurance funds, the entity may elect to measure investments in those associates and joint ventures at fair value through profit or loss.

A group's share in an associate or joint venture is the aggregate of the holdings in that associate by the parent and its subsidiaries. The holdings of the group's other associates or joint ventures are ignored for this purpose. When an associate has subsidiaries, associates, or joint ventures, the profits or losses and net assets taken into account in applying the equity method are those recognised in the associate's financial statements (including the associate's share of the profits or losses and net assets of its associates and joint ventures), after any adjustments necessary to give effect to uniform accounting policies.

Equity method procedures.

- *Transactions with associates or joint ventures.* Profits and losses resulting from upstream (associate to investor, or joint venture to joint venturer) and downstream (investor to associate, or joint venturer to joint venture) transactions are eliminated to the extent of the investor's interest in the associate or joint venture. However, unrealised losses are not eliminated to the extent that the transaction provides evidence of a reduction in the net realisable value or in the recoverable amount of the assets transferred. Contributions of non-monetary assets to an associate or joint venture in exchange for an equity interest in the associate or joint venture are also accounted for in accordance with these requirements. [IAS 28(2011).28-30]

- *Initial accounting.* An investment is accounted for using the equity method from the date on which it becomes an associate or a joint venture. On acquisition, any difference between the cost of the investment and the entity's share of the net fair value of the investee's identifiable assets and liabilities in case of goodwill is included in the carrying amount of the investment (amortisation not permitted) and any excess of the entity's share of the net fair value of the investee's identifiable assets and liabilities over the cost of the investment is included as income in the determination of the entity's share of the associate or joint venture's profit or loss in the period in which the investment is acquired. Adjustments to the entity's share of the associate's or joint venture's profit

or loss after acquisition are made, for example, for depreciation of the depreciable assets based on their fair values at the acquisition date or for impairment losses such as for goodwill or property, plant and equipment. [IAS 28(2011).32]

- *Date of financial statements.* In applying the equity method, the investor or joint venturer should use the financial statements of the associate or joint venture as of the same date as the financial statements of the investor or joint venturer unless it is impracticable to do so. If it is impracticable, the most recent available financial statements of the associate or joint venture should be used, with adjustments made for the effects of any significant transactions or events occurring between the accounting period ends. However, the difference between the reporting date of the associate and that of the investor cannot be longer than three months. [IAS 28(2011).33, IAS 28(2011).34]
- *Accounting policies.* If the associate or joint venture uses accounting policies that differ from those of the investor, the associate or joint venture's financial statements are adjusted to reflect the investor's accounting policies for the purpose of applying the equity method. [IAS 28(2011).35]
- *Application of the equity method by a non-investment entity investor to an investment entity investee.* When applying the equity method to an associate or a joint venture, a non-investment entity investor in an investment entity may retain the fair value measurement applied by the associate or joint venture to its interests in subsidiaries. The election is made separately for each associate or joint venture.[IAS 28(2011).36A]
- *Losses in excess of investment.* If an investor's or joint venturer's share of losses of an associate or joint venture equals or exceeds its interest in the associate or joint venture, the investor or joint venturer discontinues recognising its share of further losses. The interest in an associate or joint venture is the carrying amount of the investment in the associate or joint venture under the equity method together with any long-term interests that, in substance, form part of the investor or joint venturer's net investment in the associate or joint venture. After the investor or joint venturer's interest is reduced to zero, a liability is recognised only to the extent that the investor or joint venturer has incurred legal or constructive obligations or made payments on behalf of the associate. If the associate or joint venture subsequently reports profits, the investor or joint venturer resumes recognising its share of those profits only after its share of the profits equals the share of losses not recognised. [IAS 28(2011).38, IAS 28(2011).39]

Gains and losses resulting from ‘upstream’ and ‘downstream’ transactions between an investor (including its consolidated subsidiaries) and an associate are recognised in the investor’s financial statements only to the extent of unrelated investors’ interests in the associate. ‘Upstream’ transactions are, for example, sales of assets from an associate to the investor. ‘Downstream’ transactions are, for example, sales of assets from the investor to an associate. ***The investor’s share in the associate’s profits and losses resulting from these transactions is eliminated.***

An investment in an associate is accounted for using the equity method from the date on which it becomes an associate. On acquisition of the investment any difference between the cost of the investment and the investor’s share of the net fair value of the associate’s identifiable assets, liabilities and contingent liabilities is accounted for in accordance with IFRS 3 *Business Combinations*. Therefore:

(a) Goodwill relating to an associate is included in the carrying amount of the investment. However, amortisation of that goodwill is not permitted and is therefore not included in the determination of the investor’s share of the associate’s profits or losses.

(b) Any excess of the investor's share of the net fair value of the associate's identifiable assets, liabilities and contingent liabilities over the cost of the investment is excluded from the carrying amount of the investment and is instead included as income in the determination of the investor's share of the associate's profit or loss in the period in which the investment is acquired.

Impairment of the Value of Equity-Method Investments

- An entity applies IFRS 9, Financial Instruments, to determine if any investment in an associate or joint venture is impaired.
- IFRS 9 is also used to determine if other interests in the associate or joint venture should be impaired. Since goodwill is included in the carrying value of the investment, it is not separately assessed for impairment.
- The total value of the investment is assessed in terms of IFRS 9 and the goodwill portion is not assessed in terms of IAS 36, Impairment of Assets.
- However, if IFRS 9 indicates that an impairment is applicable, the total carrying value of the investment is compared to its recoverable amount (higher of value in use or fair value) determined in terms of IAS 36.
- Specifically, the impairment loss is not allocated to any individual asset, including goodwill. Instead, the total investment is impaired.
- A reversal of an impairment loss is only applied when the recoverable amount of the investment increases.
- In determining the value in use, an entity should consider: (a) Its share of the present value of the estimated future cash flows expected to be generated by the investee as a whole, including the cash flows from the operations of the investee and the proceeds on the ultimate disposal of the investment; or (b) The present value of the estimated future cash flows that are expected to arise from dividends to be received from the investment and from its ultimate disposal. Under appropriate assumptions (given a perfectly functioning capital market), both methods give the same result.

Discontinuing the equity method.

Use of the equity method should cease from the date that significant influence or joint control ceases:

- If the investment becomes a subsidiary, the entity accounts for its investment in accordance with IFRS 3 *Business Combinations* and IFRS 10 *Consolidated Financial Statements*
- If the retained interest is a financial asset, it is measured at fair value and subsequently accounted for under IFRS 9
- Any amounts recognised in other comprehensive income in relation to the investment in the associate or joint venture are accounted for on the same basis as if the investee had directly disposed of the related assets or liabilities (which may require reclassification to profit or loss)

If an investment in an associate becomes an investment in a joint venture (or vice versa), the entity continues to apply the equity method and does not remeasure the retained interest. [IAS 28(2011).24]

Potential voting rights. An entity's interest in an associate or a joint venture is determined solely on the basis of existing ownership interests and, generally, does not reflect the possible exercise or conversion of potential voting rights and other derivative instruments. [IAS 28(2011).12]

Interaction with IFRS 9. IFRS 9 *Financial Instruments* does not apply to interests in associates and joint ventures that are accounted for using the equity method. An entity applies IFRS 9, including its impairment requirements, to long-term interests in an associate or joint venture that form part of the net investment in the associate or joint venture but to which the equity method is not applied. Instruments containing potential voting rights in an associate or a joint venture are accounted for in accordance with IFRS 9, unless they currently give access to the returns associated with an ownership interest in an associate or a joint venture. [IAS 28(2011).14-14A]

Classification as non-current asset. An investment in an associate or a joint venture is generally classified as non-current asset, unless it is classified as held for sale in accordance with IFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*. [IAS 28(2011).15]

Application of the equity method of accounting

Basic principle. In its consolidated financial statements, an investor uses the equity method of accounting for investments in associates and joint ventures. [IAS 28(2011).16] Many of the procedures that are appropriate for the application of the equity method are similar to the consolidation procedures described in IFRS 10. Furthermore, the concepts underlying the procedures used in accounting for the acquisition of a subsidiary are also adopted in accounting for the acquisition of an investment in an associate or a joint venture. [IAS 28.(2011).26]

Exemptions from applying the equity method. An entity is exempt from applying the equity method if the investment meets one of the following conditions:

- The entity is a parent that is exempt from preparing consolidated financial statements under IFRS 10 *Consolidated Financial Statements*or or if all of the following four conditions are met (in which case the entity need not apply the equity method): [IAS 28(2011).17]
    - the entity is a wholly-owned subsidiary, or is a partially-owned subsidiary of another entity and its other owners, including those not otherwise entitled to vote, have been informed about, and do not object to, the investor not applying the equity method
    - the investor or joint venturer's debt or equity instruments are not traded in a public market
    - the entity did not file, nor is it in the process of filing, its financial statements with a securities commission or other regulatory organisation for the purpose of issuing any class of instruments in a public market, and
    - the ultimate or any intermediate parent of the parent produces financial statements available for public use that comply with IFRSs, in which subsidiaries are consolidated or are measured at fair value through profit or loss in accordance with IFRS 10.
- When an investment in an associate or a joint venture is held by, or is held indirectly through, an entity that is a venture capital organisation, or a mutual fund, unit trust and similar entities including investment-linked insurance funds, the entity may elect to measure investments in those associates and joint ventures at fair value through profit or loss in accordance with IFRS 9. The election is made separately for each associate or joint venture on initial recognition. [IAS 28(2011).18] When an entity has an investment in an associate, a portion of which is held indirectly through a venture capital organisation, or a mutual fund, unit trust and similar entities including investment-linked insurance funds, the entity may elect to measure that portion of the investment in the associate at fair value through profit or loss in accordance with IFRS 9 regardless of whether the venture capital

organisation, or the mutual fund, unit trust and similar entities including investment-linked insurance funds, has significant influence over that portion of the investment. If the entity makes that election, the entity shall apply the equity method to any remaining portion of its investment in an associate that is not held through a venture capital organisation, or a mutual fund, unit trust and similar entities including investment-linked insurance funds. [IAS 28(2011).19]

Classification as held for sale. When the investment, or portion of an investment, meets the criteria to be classified as held for sale, the portion so classified is accounted for in accordance with IFRS 5. Any remaining portion is accounted for using the equity method until the time of disposal, at which time the retained investment is accounted under IFRS 9, unless the retained interest continues to be an associate or joint venture. [IAS 28(2011).20]

Changes in ownership interests. If an entity's interest in an associate or joint venture is reduced, but the equity method is continued to be applied, the entity reclassifies to profit or loss the proportion of the gain or loss previously recognised in other comprehensive income relative to that reduction in ownership interest. [IAS 28(2011).25]

Impairment. After application of the equity method an entity applies IAS 39 *Financial Instruments: Recognition and Measurement* to determine whether it is necessary to recognise any additional impairment loss with respect to its net investment in the associate or joint venture. If impairment is indicated, the amount is calculated by reference to IAS 36 *Impairment of Assets*. The entire carrying amount of the investment is tested for impairment as a single asset, that is, goodwill is not tested separately. The recoverable amount of an investment in an associate is assessed for each individual associate or joint venture, unless the associate or joint venture does not generate cash flows independently. [IAS 28(2011).40, IAS 28(2011).42, IAS 28(2011).43]

Separate financial statements

An investment in an associate or a joint venture shall be accounted for in the entity's separate financial statements in accordance with IAS 27 *Separate Financial Statements* (as amended in 2011).

Disclosure

There are no disclosures specified in IAS 28. Instead, IFRS 12 *Disclosure of Interests in Other Entities* outlines the disclosures required for entities with joint control of, or significant influence over, an investee.

Applicability and early adoption

IAS 28 (2011) is applicable to annual reporting periods beginning on or after 1 January 2013. [IAS 28(2011).45]

An entity may apply IAS 28 (2011) to an earlier accounting period, but if doing so it must disclose the fact that is has early adopted the standard and also apply: [IAS 28(2011).45]

- IFRS 10 *Consolidated Financial Statements*
- IFRS 11 *Joint Arrangements*
- IFRS 12 *Disclosure of Interests in Other Entities*
- IAS 27 *Separate Financial Statements* (2011)